

26AVCV00353 26AVCV00353

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Case Number: 26AVCV00353 Hearing Date: September 8, 2026 Dept: A14

SUPERIOR COURT OF THE
STATE OF CALIFORNIA

COUNTY OF LOS ANGELES
– NORTH DISTRICT

KEN MAREFAT,

Plaintiff,

v.

SELENE FINANCE, LP; U.S. BANK
TRUST NATIONAL ASSOCIATION; ROBERTSON, ANSCHUTZ, SCHNEID & CRANE, LLP;
and DOES 1 through 50,

Defendants.

Case

Number 26AVCV00353

[TENTATIVE]

RULING ON DEMURRER

Date

of Hearing: September 8, 2026

Dept. A-14

Judge William H.
Forman

I.

Background

This is a breach of contract and foreclosure of real property case arising from a foreclosure sale of real property owned by Plaintiff, Ken Marefat (Plaintiff) located at 40447 Colina Court, Palmdale, CA 93551 (the Property).

On March 9, 2026, Plaintiff filed a complaint against Defendants Selene Finance LP (Selene), U.S. Bank Trust National Association Solely as Owner Trustee for RCAF Acquisition Trust (U.S. Bank) (together Defendants), and Robertson, Anschutz, Schneid & Crane, LLP (RASC), seeking a preliminary injunction to restrain a foreclosure sale.

On March 12, 2026, Plaintiff filed an ex parte application for a temporary restraining order (TRO) and order to show cause (OSC) re the issuance of a preliminary injunction. The application was subsequently denied and the Court noted that the complaint failed to state a cause of action and that the complaint would need to be amended if Plaintiff wished to pursue injunctive relief.

On March 24, 2026, Plaintiff filed his first amended complaint (FAC) against Defendants, RASC and DOEs 1 through 50, asserting eight causes of action for (1) violation of Civil Code section 2924.17 against Selene and RASC, (2) violation of Civil Code section 2923.7 against Selene, (3) negligence against Selene and DOEs, (4) breach of contract against Selene and U.S. Bank, (5) unfair business practices against all Defendants, (6) failure to accommodate disability and unlawful practices against Selene, (7) accounting against Selene and U.S. Bank, and (8) injunctive relief as a remedy based on the above causes of action against all Defendants.

Specifically, Plaintiff alleges that he is a disabled senior citizen residing in Los Angeles County, California, and is the borrower under a Deed of Trust recorded on April 14, 2004, and owner of the Property. (FAC, ¶¶ 1, 8.) Plaintiff claims he has been

subjected to servicing errors, misapplied payments, contradictory statements, and defective notices by Selene. (FAC, ¶ 9.) Plaintiff alleges that he was never served with the Notice of Default filed by RASC, that Defendants violated RESPA section 2605 by failing to provide any servicing transfer notice, that Defendants recorded a notice of default on February 13, 2026, which contained factual and statutory defects, that no notice of trustee's sale has been issued, and that Defendants failed to reasonably accommodate Plaintiff's disability-related communication request for written and email communications and additional time to understand loan-related issues. (FAC, ¶¶ 10, 12-13, 17-18.)

On May 29, 2026, Defendants Selene and U.S. Bank filed the present demurrer to the FAC.

On June 3, 2026, Plaintiff filed an opposition to the demurrer.

No reply has been filed as to the present demurrer.

II.

Preliminary

Procedural Issues

Timeliness of Defendants' Demurrer – When a party amends a pleading as a matter of right, the time for responding to an amended pleading shall be computed from the date of service of the amended pleading. (Code Civ. Proc., § 472.) A defendant has 30 days from the date of personal service to file a responsive pleading to an amended complaint. (Code Civ. Proc., § 430.40, subd. (a).)

On April 14, 2026, Plaintiff filed two proofs of service. The first is verified by a registered process server, establishing that U.S. Bank's agent for service of process, CT Corporation System, was personally served the amended summons and FAC on April 6, 2026. Personal service is complete the moment of deliver, rendering service on U.S. Bank complete on April 6, 2026. (Code Civ. Proc., § 415.10.) The second is verified under oath by an individual who is not a registered California process server, but who declares that Selene was served via substituted service on its registered agent for service of

process Corporation Service Company on April 8, 2026 with an attached declaration of mailing. Substituted service is complete on the 10th day after mailing, rendering service on Selene complete on April 18, 2026. (Code Civ. Proc., § 415.20, subd. (b).)

Therefore, U.S. Bank's deadline to file a demurrer to the FAC was on May 6th. Selene's deadline to file a demurrer to the FAC was on May 18th. The present demurrer was not filed until May 29, 2026, rendering it untimely as to both Defendants.

However, an untimely demurrer may be considered by the Court in its discretion. (Jackson v. Doe (2011) 192 Cal.App.4th 742, 750.) Here, Plaintiff does not object to the timeliness of Defendants' demurrer, has filed a substantive opposition thereto, and Defendants had already previously opposed Plaintiff's ex parte application a month before the demurrer was filed. In the absence of any objection from or cognizable prejudice to Plaintiff, who never took steps to obtain default judgment against either Defendant while actively pursuing default against RASC, the Court will consider the demurrer on the merits. (Ibid.; Code Civ. Proc., § 473, subd. (a)(1).)

Meet and Confer Requirement – Before filing a demurrer, the demurring party is required to meet and confer at least five days before the date the responsive pleading is due, in person, by telephone, or by video conference, with the party who filed the pleading demurred to for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41, subd. (a).) The demurring party shall file and serve with the demurrer a declaration stating the means by which the parties met and conferred and that the parties did not reach an agreement to resolve the issues raised, or that the party who filed the pleading demurred to failed to respond or otherwise failed to meet and confer in good faith. (Ibid.)

Defendants provide the Declaration of Counsel Jonathan D. Marvisi, in which he declares that on May 5, 2026, he met and conferred with Plaintiff's counsel by telephone, but after two hours no agreement was reached. (Marvisi Decl., ¶ 2.) The Court finds this requirement satisfied.

III.

Legal
Standard

Standard for Demurrer – A party against whom a complaint has been filed may object by demurrer to the pleading on the ground that the pleading does not state facts sufficient to constitute a cause of action and that the pleading is uncertain, ambiguous, and unintelligible. (Code Civ. Proc., § 430.10, subds. (e)-(f).) A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations reasonably, liberally, and in context. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (Ibid.) Courts must “treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (Blank, supra, 39 Cal.3d at 318.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 126.) The threshold for meeting this burden is low, and “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

IV.
Discussion

Application – Defendants

demur to all eight causes of action in the FAC pursuant to Code of Civil Procedure section 430.10, subdivisions (e)-(f) on the grounds that each cause of action fails to set forth sufficient facts to constitute a cause of action and is uncertain, ambiguous, and unintelligible.

a.

Uncertain, Ambiguous, and Unintelligible

As a preliminary matter,

Defendants demur to all causes of action in the FAC pursuant to Code of Civil Procedure section 430.10, subdivision (f) on the basis that the FAC and allegations within are uncertain, ambiguous, and unintelligible. Specifically, Defendants demur on these grounds because the FAC refers to “Defendants” generally in its allegations without identifying which Defendant allegedly committed which act. (Demurrer, p. 5:21-22.) For example, Defendant notes that the FAC does not allege which Defendant misapplied payments, failed to send notices, denied accommodations, made false statements, breached contractual obligations, or engaged in unlawful conduct. (Demurrer, p. 5:23-28.) Defendants assert that such collective pleading is improper and subject to demurrer on uncertainty grounds. (Demurrer, p. 6:1-2.) Plaintiff’s opposition is silent as to this argument.

“A defendant may demur to a complaint... on the ground that the ‘pleading is uncertain.’ (Code Civ. Proc., § 430.10, subd. (f).) The term ‘uncertain’ includes ‘ambiguous’ and ‘unintelligible.’ (Ibid.).” (Van Horn v. Dep’t of Toxic Substances Control (2014) 231 Cal. App. 4th 1287, 1295.) A “[d]emurrer for uncertainty is directed at the allegations actually made. [Citation.] Demurrer for uncertainty does not lie as to immaterial matter. [Citation.] Nor will a demurrer for uncertainty lie where the facts are presumptively within the knowledge of the demurring parties. [Citation.]” (Dumm v. Pac. Valves (1956) 146 Cal. App. 2d 792, 799.) “A special demurrer on the ground that an answer is (a) ambiguous, (b) unintelligible, or (c) uncertain is insufficient unless the demurrer points out specifically wherein the pleading is ambiguous, uncertain or unintelligible. [Citation.]” (Coons v. Thompson (1946) 75 Cal. App. 2d 687, 690 (citation omitted).)

Here, the Court does not find that the FAC is so uncertain, ambiguous, or unintelligible that Defendants are

not on notice of what is being alleged. While the FAC does collectively refer to “Defendants,” the FAC also defines Selene as the mortgage servicer, U.S. Bank as claimed beneficiary, and RASC as the recorder of the Notice of Default (NOD). (FAC, ¶¶ 2-4.) The FAC thereafter alleges specific conduct attributable to the individually named or described Defendants throughout. (See, e.g., FAC ¶¶ 9, 11, 12, 14, 18, 23(4), 24(3), 28(3).) Moreover, “less particularity is required where the defendant may be assumed to have knowledge of the facts equal to that possessed by the plaintiff. [Citation.]’... There is no need to require specificity in the pleadings because ‘modern discovery procedures necessarily affect the amount of detail that should be required in a pleading.’” (Roger v. County of Riverside (2020) 44 Cal. App. 5th 510, 533.)

Therefore, Defendant’s demurrer is not sustained on this ground.

b.

First Cause of Action – Violation of Civil Code § 2924.17 (Selene Only)

Defendant Selene demurs to the first cause of action asserted against it on the grounds that it alleges in conclusory fashion that the NOD contains incorrect, missing, and unverified information, but concedes that RASC, not Selene, recorded the NOD. (Demurrer, p. 6:4-10.) Defendant Selene further asserts that even if Plaintiff alleges Selene was involved in the preparation of the NOD, he does not identify what arrears were incorrect, what payments were omitted, what information was inaccurate, or how Selene failed to review competent evidence. (Demurrer, p. 6:10-13.)

In opposition, Plaintiff cites to the specific defects as alleged in the FAC, and notes that the FAC also alleges that Plaintiff was never served with the NOD and that materiality of Selene’s wrongdoing is sufficiently pled. (Opp., p. 2:12-20.) Plaintiff claims Exhibit B contains servicer correspondence showing inconsistent arrears and missing credits. (Opp., p. 2:20-23.)

A NOD recorded by or on behalf of a mortgage servicer in connection with a foreclosure shall be accurate and complete and supported by competent and reliable evidence. (Civ. Code, §

2924.17, subd. (a).) Therefore, before recording or filing a NOD, a mortgage servicer must ensure it has reviewed competent and reliable evidence to substantiate the borrower's default and the right to foreclose, including the borrower's loan status and loan information. (Civ. Code § 2924.17, subd. (b).) Under the Homeowners Bill of Rights (HBOR), which includes Civil Code section 2924.17, a borrower may bring an action to enjoin a material violation of Section 2924.17. (Civ. Code, § 2924.12, subd. (a)(1).) "[B]y its terms, the HBOR creates liability only for material violations that have not been remedied before the foreclosure sale is recorded. A material violation is one that affected the borrower's loan obligations, disrupted the borrower's loan-modification process, or otherwise harmed the borrower." (Billesbach v. Specialized Loan Servicing LLC (2021) 63 Cal. App. 5th 830, 837.)

Plaintiff has failed to state facts sufficient to state a cause of action for violation of Civil Code section 2924.17 as against Selene. To start, whether Plaintiff was served with the NOD is irrelevant to Civil Code section 2924.17. Plaintiff does not plead any facts to support the allegation that Selene failed to review competent and reliable evidence substantiating his default and the right to foreclose before recording related documents. Plaintiff asserts that the NOD recorded on February 13, 2026 contains inaccurate arrears, missing credits, and unverified information. (FAC, ¶ 23(3).) However, Plaintiff provides no factual allegations to support this assertion, such as which arrears were inaccurate, how they were inaccurate and by what amount, what credits are missing, or what information contained on the NOD is unverified. Plaintiff also alleges that Selene failed to review accurate loan data before recording the NOD, but provides no further factual basis for this claim. (FAC, ¶ 23(4).) Plaintiff does not allege what loan data was reviewed, how it was inaccurate, identify accurate loan data that establishes that the information on the NOD is inaccurate, or otherwise plead any allegations to support this statement. The FAC is also devoid of any factual allegations that the information on the NOD constituted a material violation that affected his loan obligations, disrupted any loan-modification process, or otherwise harmed him. The FAC also alleges that no Notice of Trustee's Sale has issued (FAC, ¶ 13) and that RASC recorded the NOD, not Selene. (FAC, ¶ 4).

As to Plaintiff's reference to Exhibit B, the Court notes that no arrear or credit information is contained in this correspondence. Rather, Plaintiff's Exhibit B is an email from U.S. Bank clarifying its role as trustee for the mortgage-backed-securitization trust (MBS Trust) that owns the mortgage with an attached brochure detailing the role

of trustees of MBS trusts.

Because the deficiencies of the first cause of action arise entirely from insufficient factual allegations, the Court finds a reasonable possibility of amendment to state facts sufficient to constitute a cause of action.

Accordingly, Defendants' demurrer is SUSTAINED as to Selene for the first cause of action with leave to amend.

c.

Second Cause of Action – Violation of Civil Code § 2923.7 (Selene Only)

Defendant Selene demurs to the second cause of action (which is asserted against Selene alone) on the grounds that the FAC does not allege sufficient facts that Plaintiff ever requested a foreclosure prevention alternative and that he alleges insufficient facts regarding his requests for a single point of contact (SPOC) and fails to allege any prejudice. (Demurrer, p. 6:25-7:11.) In opposition, Plaintiff points to specific allegations set forth in the FAC regarding his alleged requests for assistance and again points to Exhibit B, which he claims contains correspondence showing Plaintiff's repeated attempts to obtain assistance. (Opp., p. 2:26-3:6.)

"When a borrower requests a foreclosure prevention alternative, the mortgage servicer shall promptly establish a single point of contact and provide to the borrower one or more direct means of communication with the single point of contact." (Civ. Code, § 2923.7, subd. (a).) "'Foreclosure prevention alternative' means a first lien loan modification or another available loss mitigation option." (Civ. Code., § 2920.5, subd. (b).) Reinstatement is not a "foreclosure prevention alternative." (See McAfee v. PHH Mortgage Corporation (N.D. Cal., Oct. 8, 2019) 2019 WL 13203931, at *2 [citing other authority in holding that "[p]aying off a delinquent loan to bring that loan current is not a 'foreclosure prevention alternative'"]; see also Civ. Code, §§ 2924.9-2924.11 [describing requirements for foreclosure prevention alternatives].)

The FAC fails to state facts sufficient to constitute a cause of action for violation of Civil Code section

2923.7 against Selene. Prompt establishment of a SPOC is an obligation imposed on a mortgage servicer only when a borrower requests a foreclosure prevention alternative. Here, the FAC alleges that Plaintiff repeatedly attempted to resolve the issues with Selene, including sending requests for accounting, correction of errors, and dispute resolution, that Selene failed to correct the defects, and that Plaintiff repeatedly requested that a SPOC be established but Selene failed to assign one. (FAC, ¶¶ 14, 24(2)-(3).) The issues Plaintiff states he attempted to resolve with Selene include the allegedly incorrect information on the NOD, the non-issuance of the NTS, servicing errors, misapplied payments, contradictory statements, defective notice, and failure to serve the NOD. (FAC, ¶¶ 9-14.)

There is no allegation that Plaintiff requested a foreclosure prevention alternative or that Selene's failure to establish a SPOC was material for the purposes of the HBOR. Therefore, the allegations in the FAC do not establish any statutory duty by Selene to appoint a SPOC. However, because the deficiencies of the second cause of action arise entirely from insufficient factual allegations regarding Plaintiff's request for a foreclosure prevention alternative, the Court finds a reasonable possibility of amendment to state facts sufficient to constitute a cause of action if he did in fact request an alternative.

Accordingly, the demurrer to the second cause of action is SUSTAINED with leave to amend.

d.

Third Cause of Action – Negligence (Selene Only)

Defendant Selene demurs to the third cause of action on the grounds that *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905 expressly forecloses negligence claims against mortgage servicers on the grounds that lenders and servicers do not owe borrowers a general duty of care arising from loan servicing activities, and absent any special relationship or conduct exceeding the scope of conventional loan servicing activities, no duty arises. (Demurrer, p. 7:13-20.) Defendant further argues that the FAC fails to allege facts to support breach of any duty, causation, or damages, as he does not identify what payments were misapplied, when they were misapplied, or how Selene caused compensable damages. (Demurrer, p. 7:20-8:2.)

Plaintiff argues the FAC alleges

conduct exceeding the scope of ordinary loan servicing, including failure to serve the NOD, defective statutory notices, misapplied payments, failure to correct errors, disability related failures, and violation of statutory duties under the HBOR, which exist independently of the loan contract. (Opp., p. 3:9-18.) Plaintiff again asserts his Exhibit B establishes errors and failure to take corrective action.

"The elements of a

cause of action for negligence are well established. They are '(a) a legal duty to use due care; (b) a breach of such legal duty; [and] (c) the breach as the proximate or legal cause of the resulting injury.'" (Ladd v. County of San Mateo (1996) 12 Cal.4th 913, 917, internal citation omitted.) In California, the general rule is that "a financial institution owes no duty of care to a borrower when the institution's involvement in the loan transaction does not exceed the scope of its conventional role as a mere lender of money." (Nymark v. Heart Fed. Savings & Loan Assn. (1991) 231 Cal.App.3d 1089, 1096; Sheen, supra, 12 Cal.5th at 928.) A lender is acting within the scope of its conventional role as a lender and owes no duty to the borrower in pursuing its own economic interests in lending money, approving a loan, negotiating with the borrower, or in offering, considering, approving, or modifying a loan, exploration of foreclosure alternatives. (Perlas v. GMAC Mortgage, LLC (2010) 187 Cal.App.4th 429, 436; Lueras v. BAC Home Loans Servicing, LP (2013) 221 Cal.App.4th 49, 67.) Therefore, the general notion is that a lender does "not have a common law duty of care...to offer [the borrower] alternatives to foreclosure. Likewise, [mortgage lenders do] not have a duty of care to handle [the borrower's] loan 'in such a way to prevent foreclosure and forfeiture of his property.'" (Lueras, supra, 221 Cal.App.4th at 68.) "[A]bsent special circumstances... a loan transaction is at arm's length and there is no fiduciary relationship between the borrower and lender. [Citations.]" (Oaks Management Corporation v. Superior Court (2006) 145 Cal.App.4th 453, 466.)

Here, Plaintiff has failed to

identify any act, omission, conduct, or wrongdoing on behalf of Selene outside of the scope of its general role as lender that would support any duty owed by Selene to Plaintiff. The FAC's allegations as to Selene relate directly to its involvement in servicing Plaintiff's loan within its conventional role as a lender, including generally servicing the loan, application of payments, providing

notices to and serving documents on Plaintiff, recording the NOD, transferring service, calculation of arrears, providing contact information for the loan servicer, compliance with various statutory obligations imposed on all mortgage lenders in servicing a loan, communication with Plaintiff as a borrower, and responding to disputes regarding his default and money owed on the loan. Taking the FAC as true, none of these factual allegations give rise to any special relationship between Plaintiff and Selene, and thus, do not give rise to any duty owed by Selene to Plaintiff in servicing the loan, noticing Plaintiff's default, or initiating foreclosure proceedings. For this reason, the FAC fails to allege facts sufficient to impose any duty on Selene, and Plaintiff's negligence cause of action fails.

Regarding leave to amend, courts

have held that "a lender does owe a duty to a borrower to not make material misrepresentations about the status of an application for a loan modification or about the date, time, or status of a foreclosure sale," as the "law imposes a duty not to make negligent misrepresentations of fact." (Lueras, supra, 221 Cal.App.4th at 69.) Therefore, where a complaint subject to demurrer alleges facts that may give rise to a negligent misrepresentation claim, such as where a lender's communications about a foreclosure sale or the status of a loan modification application are inaccurate or untimely, or where a complaint generally alleges that a lender failed to exercise reasonable care in timely and accurately responding to customer requests and inquiries, leave to amend is appropriate. (Ibid.)

Here, the FAC alleges numerous

servicing errors, misapplied payments, contradictory statements, defective notices, failure to serve Plaintiff with the NOD, misrepresentations of arrears owed, failure to credit payments, and receipt of inaccurate information from Selene which resulted in financial harm, credit damage, and exposure to wrongful foreclosure. Thus, if Plaintiff can supply further factual allegations as to the incorrect information he received, the defective notices, and negligently incorrect information provided by Selene regarding the status of his loan, it is reasonably possible that Plaintiff can state a cause of action for negligent misrepresentation against Selene.

Accordingly, Defendants' demurrer is SUSTAINED with leave to amend.

e.

Fourth Cause of Action – Breach of Contract (Both Defendants)

Defendants demur to the breach of contract cause of action on the grounds that Plaintiff fails to adequately plead the existence of a contract, Plaintiff's performance or excuse for non-performance, or Defendants' breaches of the contract. (Demurrer, p. 8:4-7.) Defendants further argue that Plaintiff has not attached the Deed of Trust (DOT) to the FAC or identified specific contractual provisions breached, does not allege that both Selene and U.S. Bank are parties to the DOT, does not allege whether he performed under the DOT, which includes payment obligations, and does not allege facts establishing that any alleged breach caused him damages. (Demurrer, p. 8:7-19, 9:1-5.) In opposition, Plaintiff argues his allegations of a valid DOT, Defendants' failure to provide required notices, failure to apply payments correctly, and initiation of foreclosure without compliance are sufficient to withstand demurrer. (Opp., p. 3:24-4:4.)

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) plaintiff's performance of the contract or excuse for nonperformance, (3) defendant's breach, and (4) resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

Here, the FAC fails to state facts sufficient to constitute a cause of action for breach of contract. The FAC does not contain any allegations that Plaintiff entered into a contract with both Defendants, does not put forth any terms of the contract or attach the contract itself, does not allege that Plaintiff performed or was excused from performing under the contract, does not allege what term of the contract was breached by Defendants or how, and does not establish that the alleged breach of the contract was the cause of any harm suffered by Plaintiff.

Accordingly, the demurrer is SUSTAINED as to the fourth cause of action with leave to amend.

f.

Fifth Cause of Action – Unfair Business Practices (Bus. & Prof. Code § 17200) (Both Defendants)

Defendants argue the fifth cause

of action fails because the FAC does not plead with any specificity or clarity any viable unlawful conduct, does not specify which prong of Section 17200 Plaintiff relies on, fails to plead fraud under the UCL, and is derivative of other failed claims. (Demurrer, p. 9:16-10:15.)

Plaintiff argues that his allegations of Defendants' violations of Civil Code sections 2923.5, 2923.55, 2924, 2924.17, 2923.7, misapplication of payments, and servicing errors sufficiently establish a cause of action for unfair business practices. (Opp., p. 4:9-18.)

Business and Professions Code

section 17200 describes unfair competition as "any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by Chapter 1 (commencing with Section 17500) of Part 3 of Division 7 of the Business and Professions Code." (Bus. & Prof. Code, § 17200.) An "unlawful business act" includes "anything that can properly be called a business practice and that at the same time is forbidden by law." (People v. McKale, (1979) 25 Cal.3d 626, 632.) A claim under the California's Unfair Competition Law, Business & Professions Code §§17200 et seq. ("UCL"), requires the allegation of particular facts showing the statutory elements of ongoing unlawful, unfair, or fraudulent business acts on the part of the defendant with "reasonable particularity." (Khouri v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 619.) Claims by private plaintiffs can only be brought by "a person who has suffered injury in fact and has lost money or property as a result of the unfair competition." (Bus. & Prof. Code, § 17204.) Fraudulent business practices requires a showing that members of the public are likely to be deceived, meaning "members of the public must have had an expectation or an assumption about" the matter in question." (Daugherty v. American Honda Motor Co., Inc., 144 Cal. App. 4th 824, 838.) "[A]n 'unfair' business practice occurs when that practice 'offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers.' [Citation.]" (Smith v. State Farm Mutual Automobile Ins. Co. (2001) 93 Cal.App.4th 700, 718–719.)

The FAC does not plead with any particularity facts showing ongoing unlawful, unfair, or fraudulent business acts, that Plaintiff has lost money or property as a result of the unfair competition, that members of the public are likely to be deceived by

Defendants' alleged wrongful conduct, or that Defendants' conduct offends established public policy or is immoral, unethical, oppressive, unscrupulous, or substantially injurious to consumers. Plaintiff has also failed to allege that Defendants deprived him of any specific money or property, or that any loss of money was a result of Defendants' business practices as opposed to mere default on the mortgage loan. Plaintiff's HBOR violation claims are also insufficient to establish any cause of action under the UCL, as they fail to state facts sufficient to constitute causes of action for violations thereof and do not rise to the level of unfairness or fraudulent necessary to maintain this cause of action.

Accordingly, Defendants' demurrer is SUSTAINED with leave to amend.

g.

Sixth Cause of Action – Failure to Accommodate Disability / Unlawful Practices (Selene Only)

Defendant Selene argues the sixth cause of action fails because it does not identify any cognizable legal theory, statute violated, legal duty owed, applicable disability law, specific accommodation request, when any request was made, or how any request was denied. (Demurrer, p. 10:17-23.) Plaintiff argues he sufficiently pleads a cause of action because the FAC alleges that Plaintiff is a disabled senior citizen, notified Selene of disability-related communication needs, Selene failed to accommodate those needs, and alleges harm as a result.

The FAC only alleges that Plaintiff is a disabled senior citizen, that he informed Selene of his disability-related communication needs, including that he requires written and email communications and additional time and clarity to understand and respond to loan-related issues, and that Selene failed to provide reasonable accommodations by failing to provide written communication and consistent contact, causing Plaintiff confusion, stress, and risk of wrongful foreclosure. (FAC, ¶¶ 17-18, 28.) For the reasons put forth by Defendants, Plaintiff's sixth cause of action fails. Plaintiff puts forth no disability-related law imposing a duty on Selene, breach of that duty, or other recognized legal violation.

Accordingly, the demurrer is SUSTAINED to the sixth cause of action. The Court will grant leave to amend to

provide Plaintiff an opportunity to identify any applicable disability laws violated relating to his accommodation requests and plead facts sufficient to support a legally viable cause of action, if any exist.

h.

Seventh Cause of Action – Accounting (Both Defendants)

Defendants argue the seventh cause of action fails because Plaintiff identifies no clear fiduciary duty between himself and Defendants and does not allege that ordinary discovery would be insufficient to determine disputed amounts. (Demurrer, p. 11:1-10.)

To plead a cause of action for accounting, a plaintiff must demonstrate (1) “that a relationship exists between the plaintiff and defendant that requires an accounting” and (2) “that some balance is due the plaintiff that can only be ascertained by an accounting.” (Sass v. Cohen (2020) 10 Ca1.5th 861, 869.) An action for an accounting is a means for plaintiff to recover funds owed. (Tesselle v. McLoughlin (2009) 173 Cal.App.4th 156, 180 (“the purpose of the accounting is, in part, to discover what, if any, sums are owed to the plaintiff.”).) An accounting is not available where a party seeks to recover a sum certain or where the amount owed can be determined through ordinary discovery and loan records. (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 910.) The plaintiff must show that there is no legal remedy available, such as where the books and records are so complicated that an action demanding a fixed sum is appropriate. (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1137.)

This cause of action fails for two reasons. First, Plaintiff has not established that a legal remedy is inadequate or that accounting is appropriate because no ascertainable sum is owed. (See *ibid* [“If an ascertainable sum is owed, an action for an accounting is not proper.”].) It appears Plaintiff’s accounting cause of action merely rests on his assertion that he disputes the charges, application of payments, and balances on his loan account. (FAC, ¶ 29.) This is insufficient to establish that an accounting is necessary or an available remedy, and the amount owed by Plaintiff appears from the complaint to be readily ascertainable, given that the dispute relates to a straightforward mortgage balance and interest accrued thereon. The date of the loan, the amount, the

interest rates, the amounts owed, and the amounts paid are calculable and discernable. No allegations in the FAC indicate otherwise. Second, “[g]enerally, an underlying fiduciary relationship, such as a partnership, will support an accounting, but the action does not lie merely because the books and records are complex. [Citations.] Some underlying misconduct on the part of the defendant must be shown to invoke the right to this equitable remedy.” (Ibid.) Plaintiff has failed to allege any cognizable fiduciary relationship between himself and Defendants, nor any misconduct or wrongdoing on the part of Defendants. To the extent Plaintiff is able to amend the FAC to allege sufficient facts to support some special relationship with Defendants, a duty owed, and wrongdoing to support his other causes of action, the Court will grant leave to amend to allow Plaintiff an opportunity to plead a cause of action for accounting.

Accordingly, Defendants’ demurrer is SUSTAINED with leave to amend as to the seventh cause of action.

i.

Eighth Cause of Action – Injunctive Relief (Both Defendants)

“Injunctive relief is a remedy and not, in itself, a cause of action, and a cause of action must exist before injunctive relief may be granted.” (Shell Oil Co. v. Richter (1942) 52 Cal.App.2d 164, 168.)

The Court sustains Defendants’ demurrer as to all of Plaintiff’s causes of action. Accordingly, Plaintiff’s eighth cause of action for injunctive relief necessarily fails.

Defendants’ demurrer to the FAC is therefore SUSTAINED in its entirety with leave to amend.

V.

Conclusion

Defendants Selene Finance LP and U.S. Bank Trust National Association, Not in its Individual Capacity but Solely

as Owner Trustee for RCF 2 Acquisition Trust's Demurrer to the First Amended Complaint is SUSTAINED in its entirety with leave to amend. Plaintiff shall file a Second Amended Complaint within 30 days of this Order.